WEEK 4 · LESSON 19 OF 24 · HANDOUT

AI Governance, Law and Accountability

Study time: **about 50 minutes** (reading, video and activity)

▶ **Watch:** https://www.youtube.com/watch?v=FLUd0k2ctJE — open the lesson online to watch inside the course.

🎓 **Go deeper:** SciPy 2023: Responsible AI in Practice (Rumman Chowdhury) — https://www.youtube.com/watch?v=dQHjntrqrFQ

🎓 **Go deeper:** Harvard: Understanding the Impact of AI on the Legal Profession — https://www.youtube.com/watch?v=Y8UHDl2IJOM

Your goal in this lesson: Describe the main AI rules and policies that apply in Rwanda and internationally, decide who is accountable for what, and build a risk register and impact assessment for an AI system.

Why governance?

Technology alone cannot make AI responsible. Somebody must decide **whether** to use AI for a task, **who** answers when it goes wrong, **how** people can complain, and **when** to stop. That system of roles, rules and records is **AI governance**.

The rules you should know

Rule or policy	What it means for builders
Rwanda's Law No. 058/2021 on personal data and privacy	Lawful basis, minimisation, security, data-subject rights, conditions for storing data abroad (Lesson 16)
Rwanda's National AI Policy (adopted 2023)	Rwanda's plan to use AI for development responsibly: skills, data, infrastructure, investment, and trustworthy AI. In 2026 the Cabinet also approved a **National AI Agency** to coordinate this work
EU AI Act	A risk-based law: some uses are banned, **high-risk** uses (including credit scoring of people, hiring, education, essential services) have strict duties. It matters if you serve EU customers or partners — and many countries copy its ideas
Sector rules	Banks, SACCOs, health and telecom have their own regulators and rules (for example the National Bank of Rwanda for financial services)
International principles	OECD AI Principles, UNESCO Recommendation on the Ethics of AI

Laws change: before a real project, read the current texts and get legal advice. In the EU AI Act, for example, the duties for high-risk systems such as credit scoring were moved by a 2026 amendment to apply from December 2027.

Risk levels

The EU AI Act's idea of **risk tiers** is useful everywhere:

Tier	Examples	What to do
Unacceptable	Social scoring of citizens, manipulation of vulnerable people	Do not build
High	Credit decisions, hiring, school admissions, medical triage	Full documentation, testing, human oversight, monitoring, registration where required
Limited	Chatbots, AI-generated content	Tell people they are dealing with AI; label generated content
Minimal	Spam filters, game AI	Normal good practice

Our loan model is **high-risk**: it affects people's access to money.

Who is accountable?

Every AI system needs named people, not just "the team":

Role	Responsible for
System owner (a manager)	The decision to use AI, its purpose and limits; final accountability
Model developer	Building, testing and documenting the model
Data protection officer	Lawful use of personal data, privacy reviews, data-subject requests
Operations / IT	Running, monitoring and securing the service
Reviewers (loan officers)	Human oversight of decisions and handling appeals
Independent auditor	Periodic checks of fairness, performance and compliance

A risk register

List what could go wrong, how likely and how bad it is, and what you do about it:

```
import pandas as pd

risks = pd.DataFrame([
    {"risk": "Rural applicants approved less often than fair", "likelihood": 4, "impact": 4,
     "control": "Monthly fairness audit; human review of refused rural applicants", "owner":
"Model developer"},
    {"risk": "Concept drift lowers accuracy", "likelihood": 3, "impact": 4,
     "control": "Monthly outcome monitoring; retrain trigger at 5-point drop", "owner":
"Operations"},
    {"risk": "Personal data leaked from logs", "likelihood": 2, "impact": 5,
     "control": "Pseudonymised logs; access control; 12-month retention", "owner": "Data
protection officer"},
    {"risk": "Applicants game mobile-money activity", "likelihood": 3, "impact": 3,
     "control": "Cap feature effect; monitor sudden jumps", "owner": "Model developer"},
    {"risk": "Service down at month end", "likelihood": 2, "impact": 3,
     "control": "Health checks; fallback to manual process", "owner": "Operations"},
    {"risk": "Staff trust the score blindly", "likelihood": 3, "impact": 4,
     "control": "Training; reason codes; review band (Lesson 21)", "owner": "System owner"},
])
risks["score"] = risks["likelihood"] * risks["impact"]
risks["level"] = pd.cut(risks["score"], [0, 6, 12, 25], labels=["low", "medium", "high"])
print(risks.sort_values("score", ascending=False)[["risk", "score", "level",
"owner"]].to_string(index=False))
```

Scores use 1–5 scales: **score = likelihood × impact**. High risks need strong controls before launch; every risk has an **owner**.

An AI impact review

Before building, answer in writing:

```
ASSESSMENT = {
    "Purpose": "Help loan officers judge repayment risk faster and more consistently.",
    "Decision supported": "Approve, or refer to an officer. The model never refuses on its
own.",
    "People affected": "SACCO loan applicants, including rural members and women.",
    "Data used": "Income, loan amount, membership years, late payments, salary status, mobile-
money activity.",
    "Data NOT used": "Name, phone, national ID, gender, area, age (kept separately for audits
only).",
    "Risk tier": "High (credit decision).",
    "Main risks": ", ".join(risks.sort_values("score", ascending=False)["risk"].head(3)),
    "Human oversight": "Officers review every refused or borderline case; applicants can
appeal.",
    "Go/no-go criteria": "AUC >= 0.80, disparate impact >= 0.8 by area and gender, all high
risks controlled.",
    "Review date": "Every 3 months and after every retraining.",
}
for k, v in ASSESSMENT.items():
    print(f"{k}: {v}")
```

Key terms

- **AI governance** — the roles, rules and records that control how AI is used.
- **Risk-based regulation** — stricter rules for higher-risk uses.
- **High-risk system** — AI that affects important life decisions such as credit, jobs or health.
- **Accountability** — named people answer for outcomes.
- **Risk register** — a list of risks with likelihood, impact, controls and owners.
- **Impact assessment** — a written review of purpose, people affected, risks and safeguards before deployment.

Remember this: Responsible AI needs governance: know the laws and policies, classify the risk, name accountable owners, keep a risk register, and assess impact before you deploy.

Name: _____ Date: _____

Activity

Task 1

Add two risks of your own to the register and give each an owner.

Task 2

Classify these by risk tier: a school timetable optimiser, a CV-screening tool, a crop-disease photo app, a chatbot for a bank.

Task 3

Read Rwanda's National AI Policy summary and list three priorities that relate to your capstone idea.

Task 4

Write the impact assessment for your own capstone idea.

Self-check

Think about your answers here, then take the quiz online — it is marked instantly and explains every answer.

1. What is AI governance?
   - A. A programming language
   - B. A type of neural network
   - C. A server setting
   - D. The roles, rules and records that control how AI is used
2. In the EU AI Act's approach, what tier is credit scoring of people?
   - A. Limited
   - B. Minimal
   - C. High-risk
   - D. Banned
3. Which Rwandan policy sets the national direction for AI?
   - A. There is none
   - B. The Tax Policy
   - C. The National AI Policy, adopted in 2023
   - D. The Road Traffic Policy
4. How is a risk score calculated in the register?
   - A. Likelihood × impact
   - B. Likelihood + impact
   - C. Random
   - D. Impact ÷ likelihood
5. Why must every risk have an owner?
   - A. Laws forbid teams
   - B. So a named person is accountable for controlling it
   - C. To save money
   - D. For decoration
6. In the impact assessment, what does the model never do on its own?
   - A. Refuse a loan
   - B. Use income
   - C. Compute scores
   - D. Log requests

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